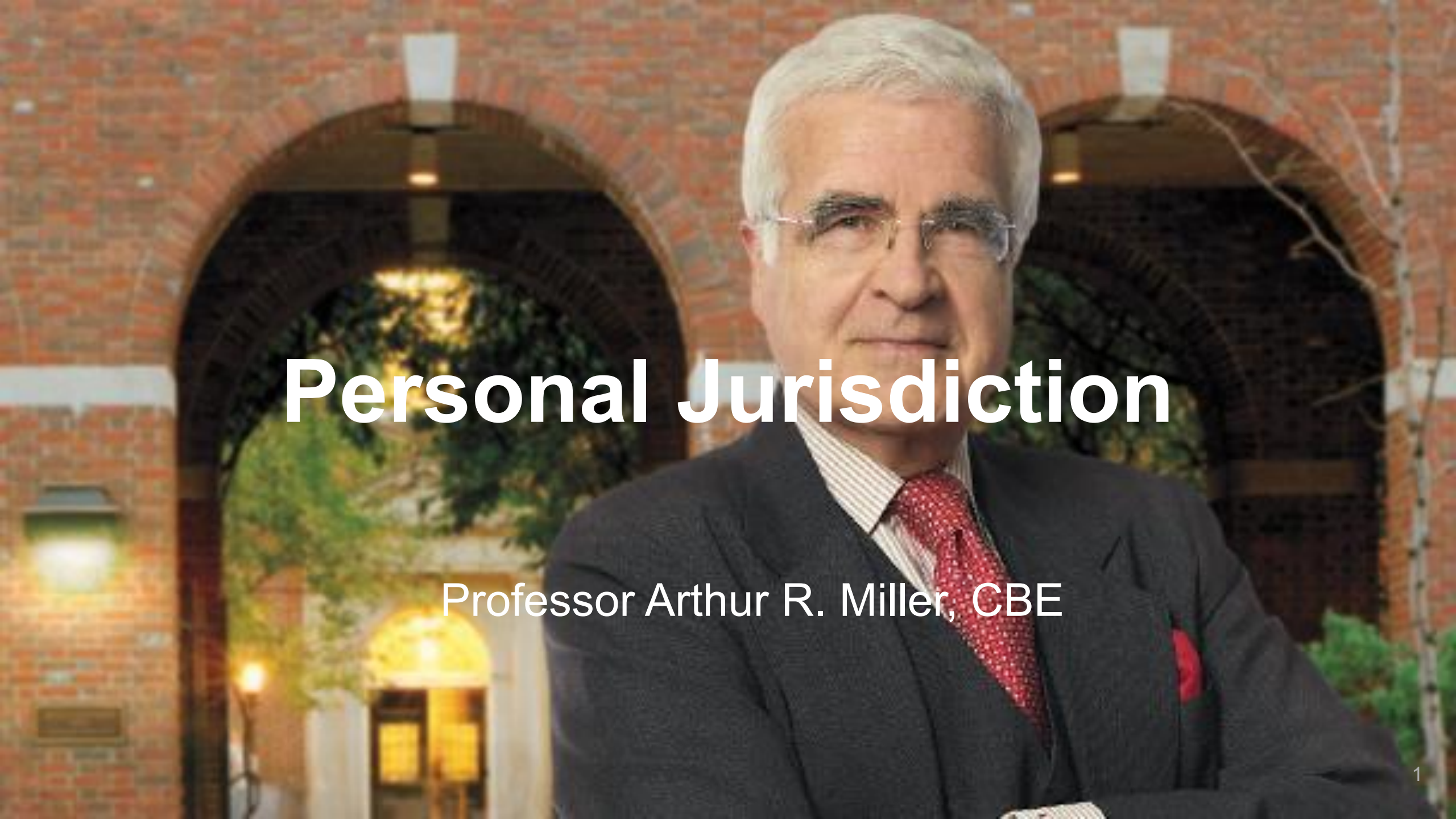


Personal Jurisdiction

Professor Arthur R. Miller, CBE

Plan For Today

Review PJx

Present a framework for how to tackle a PJx problem

Answer questions

Go over the hypo

Don’t worry if your answer doesn’t match up with the high-scoring answer 💜

Conceptual Framing

- PJx is all about the **court's power over the defendant**
  - Power of court to enter judgment against person / entity. Must be authorized by **statute** and consistent with **Due Process Clause** of Constitution

- Courts focus on the **defendant's connection to the forum** because the plaintiff selects the forum (and thus does not need the same level of protection)

- **Tools in a toolbox**
  - These cases all represent "good law"
  - Each opinion presents arguments that can be deployed as tools to argue for or against PJx (including dissents, concurrences, pluralities)

- **Always argue both sides**
  - In law school in general, but in particular for PJx

Step-by-Step Framework

Step 1: Is there general jurisdiction?

- If yes: PJX, irrespective of whether events giving rise to suit take place in the forum
- If no: Go through next steps in attempt to establish *specific* pjx

Step 2: Is there a traditional basis of jurisdiction?

- If yes: PJX
- If no: Go to step 3

Step 3: Is there an applicable long-arm statute?

- If yes: Go to step 4
- If no: Consider trying quasi in rem
  - If quasi in rem works: Go to step 4

Step 4: Are there <u>minimum contacts</u>?

- If yes: Go to step 5
- If no: No PJX

Step 5: Does the P's claims <u>arise out of or relate to</u> the D's contacts with the forum state?

- If yes: Go to step 6
- If no: No PJX

Step 6: Does pjx comport with <u>fair play and substantial justice</u>?

- If yes: PJX
- If no: No PJX (very high bar for step 6 to defeat step 5)

Step 1: Is there general jurisdiction?

- **Requirements**
  - Must be "at home"
    - **Individual: <u>domicile</u>**
      - "[T]he place where that individual has a true, fixed home . . . and to which, whenever . . . absent . . . they have the intention of returning." (***Mas v Perry***) (p. 280)
      - Remains constant until new domicile is established
    - **Corporation: <u>state of incorporation</u> or <u>principal place of business (HQ)</u>**
      - ***Perkins v. Benguet***, ***Helicopteros***
      - ***Goodyear***, ***Daimler*** (+ Sotomayor concurrence), ***BNSF Railway*** (+ Sotomayor dissent)
      - ***Mallory***
- **If yes:** Pjx is established **irrespective** of whether events giving rise to the cause of action take place in the forum state
- **If no:** Move through next steps to try to establish specific jurisdiction

Step 2: Is there a possible traditional basis?

Specific pjx must ***always*** **arise from in-state contacts (*BMS*)**
- In this analysis, this applies to steps 2-5.

- **If yes,** identify what that traditional basis might be and why.
- **If not,** explain why not and move to step 3.

- "Traditional" Bases
  - Physical presence (***Pennoyer, Burnham***)
  - Domicile (***Mas v. Perry***)
  - Express consent (***Carnival Cruise, Bremen, Mallory***)
  - Implied consent (***Hess***)
  - Agency (***International Shoe Co, Szukhent***)
  - Waiver of PJx (e.g. responding to a summons without entering a special appearance, or failing to assert **FRCP 12(b)(2)** in answer or initial motion) (***Insurance Corp. of Ireland***)
- *Note*: Cannot be obtained by fraud (***Tickle***)

Step 3: Does the long arm apply? [statutory basis]

If <u>yes</u>, state all the reasons why.
If not, consider trying to apply quasi in rem jx

STATE COURTS - use long arm statutes

- If the long arm extends to the full constitutional limit (e.g., California, Rhode Island), **<u>proceed to minimum contacts analysis</u>**
  - Authorizes state court to exercise jx "on any basis not inconsistent with the constitution of this state or the United States."
- If the long arm does not extend to the full constitutional limit (NY), you need to state all the reasons the long arm does or doesn't apply.
  - ***Gray*** - consideration of *where* the tortious act happened for the purpose of applicability of the long-arm statute was interpreted as place of injury

***Relation of 14th Amendment's Due Process Clause with Long-Arm Statutes**

- Due Process Clause defines the limits of the personal jx of the courts to cases where defendant has a significant relationship with the forum state to protect a defendant from being brought to a forum state that unnecessarily burdens them.
- DPC only defines limits of PJX but the state legislatures must grant their courts their power of JX through long-arm statutes to get pjx over out of state residents.

Step 3: Does the long arm apply? [statutory basis]

FEDERAL COURTS - use **Rule 4(K)(1)(A)**

- Federal court's jx reach is defined by **Rule 4(K)(1):**
  - Grants pjx over:
    - Those subject to the general jx of the state in which the federal court sits

  - **Rule 4(K)(1)(a):** in general, serving a summons or filing a waiver of service establishes pjx over a defendant:
    - Who is subject to the jx of a court of general jx in the state where the district court is located
    - Same analysis as state court.

Step 3: Does the long arm apply? [statutory basis]

If the long arm does not apply → Try jurisdiction based on property (in rem, quasi in rem)

- State is all-powerful within its boundaries (***Pennoyer***)
- IR: dispute must be over the property and property must be in the forum (***Pennington***)
- QIR: needs
    - property in the state (does not need to be real property)
    - minimum contacts such that it comports with fair play and substantial justice, AND
    - remedy limited to value of property attached
        - ***e.g. Shaffer***

Step 4: Are there minimum contacts?

- Minimum contacts depend on **nature and quality** of the contacts; it is **not a mechanical formula** (***International Shoe Co.***)

- Read the fact pattern carefully and create a table for each state and each party
  - This helps you track facts AND possibly recognize patterns from previous cases you can analogize to and from
  - BUT: only the D's contacts really matter!

	State 1	State 2	State 3
Plaintiff 1	CONTACTS	CONTACTS	CONTACTS
Plaintiff 2	CONTACTS	CONTACTS	CONTACTS
Defendant 1	CONTACTS	CONTACTS	CONTACTS
Defendant 2	CONTACTS	CONTACTS	CONTACTS
Defendant 3	CONTACTS	CONTACTS	CONTACTS

Minimum contacts patterns

	State 1	State 2	State 3
Plaintiff 1	CONTACTS	CONTACTS	CONTACTS
Plaintiff 2	CONTACTS	CONTACTS	CONTACTS
Defendant 1	CONTACTS	CONTACTS	CONTACTS
Defendant 2	CONTACTS	CONTACTS	CONTACTS
Defendant 3	CONTACTS	CONTACTS	CONTACTS

Sort the contacts from your chart – voluntary act of D or unilateral act of P?

Baseline concept: "Purposeful Availment"

- Defendant must have **purposefully availed themselves of the privileges and benefits of the State's laws/protections** (***Hanson***)
  - Yes: ***International Shoe***, ***Keeton v. Hustler***, ***Burger King***
  - No: ***Hanson***, ***WVW***
  - Single contact with substantial connection: ***McGee***, ***Burger King***

Stream of Commerce

By putting a product into the stream of commerce which then ends up in the forum state, was the defendant purposefully availing themselves of the forum state's market?

- Weak form: did D intend for their product to end up in the forum state?
- Intermediate form: did D have reason to foresee their product ending up in the forum state?
- Maximalist form: D put it into the stream of commerce, and is responsible for it wherever it goes.

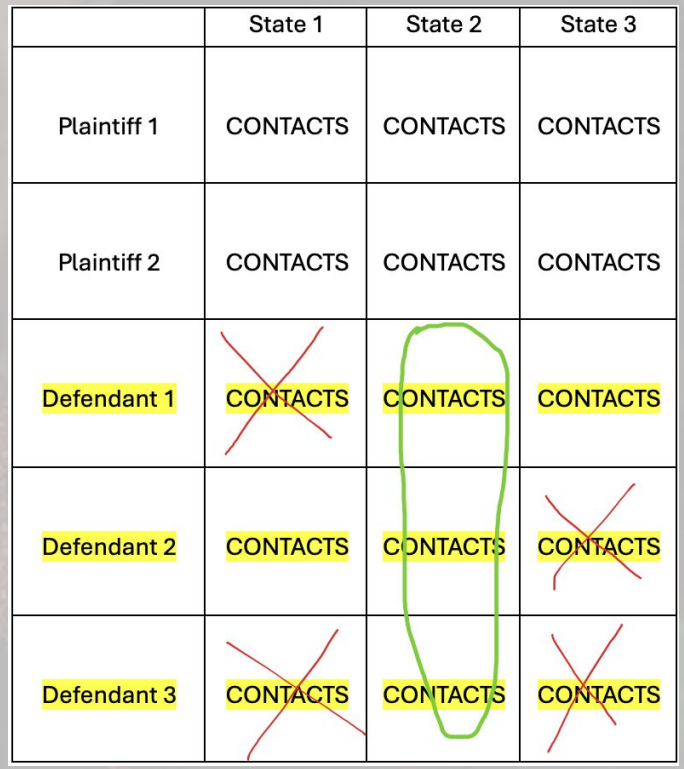
  - ***Asahi***: The different approaches of **O'Connor, Brennan, Stevens**
  - ***Nicastro***: The different approaches of **Kennedy, Breyer, Ginsburg**
  - ***Keeton***, ***WVW***, ***Gray***

Calder Effects Test (1) Committed *intentional* act (2) *Expressly* aimed at forum (3) Caused harm, the brunt of which is *suffered in the forum state*.

- ***Calder v. Jones***, ***Kulko v. Superior***, ***Walden v. Fiori***

Step 5: Do the P's claim(s) arise out of or relate to the D's contacts with the forum state? [only for specific jdx!]

- **Identify the actual claim and the chain of causation, and see if it aligns with the contacts.** (*Might have already done this for long-arm analysis)
- **Kagan's broader approach:** Relational, not causal, test of connection (***Ford***)
- **Alito's approach:** "Arise out of" and "relate to" are not discrete grounds for Jx. A broad sense of causal is sufficient, i.e. common-sense relationship between D's activities and these suits, without strict proof of causation (***Ford***)
- **Gorsuch's approach:** But-for causal link (***Ford***)
- There must be an affiliation between the forum and the specific claims at issue, not just forum and defendant. (***BMS***)



	State 1	State 2	State 3
Plaintiff 1	CONTACTS	CONTACTS	CONTACTS
Plaintiff 2	CONTACTS	CONTACTS	CONTACTS
Defendant 1	CONTACTS	CONTACTS	CONTACTS
Defendant 2	CONTACTS	CONTACTS	CONTACTS
Defendant 3	CONTACTS	CONTACTS	CONTACTS

Minimum contact rationales [constitutional]

- 2 separate constitutional bases for minimum contacts requirement (***WVW***)
  - Individual liberty interest (***Insurance Corp. of Ireland***)
  - Protecting the domains of coequal sovereigns (states) (cf. ***Pennoyer***)
  - FN 10 in ***Insurance Corp. of Ireland***: "The restriction on state sovereign power described in WWV, however, must be seen as ultimately a function of the individual liberty interest preserved by the DP Clause."
- Minimum contacts are **necessary**, and this analysis should precede a fairness inquiry (***Hanson***, ***WVW majority***)
- = It could seem overwhelmingly fair for the court to assert PJx, but minimum contacts analysis must still be conducted separately
  - ***BMS***
  - But see Stevens concurrence in ***Asahi***

Step 6: Do the minimum contacts comport with fair play and substantial justice?

- **Go through the 5 factors laid out in *WWV***
    i. Burden on D of adjudicating in the forum (*primary factor*)
    ii. State's interest in adjudicating dispute
    iii. P's interest obtaining convenient and effective relief
    iv. Interstate judicial system's interest in efficiency
    v. Shared interest of the several States in furthering fundamental substantive social policies
- ***WWV* fairness factors are fleshed out in: *Burger King*, *Asahi***
    - "Minimum requirements inherent in the concept of 'fair play and substantial justice' may defeat the reasonableness of jurisdiction even if the defendant has purposely engaged in forum activities." (***Burger King***)
    - **BUT**: If you purposefully avail, you need a "compelling case" to scrap jx (***Burger King*, *Asahi*)**)
    - **Consider:** Black/Brennan (focus on both parties' overall contacts) vs Warren/White (focused solely on D)

Minimum Contacts Quadrant

<u>Quadrant 1:</u> (CoA arises from contacts) & (Continuous & Systematic Contacts)

Specific Jx:

Yes PJx: *Shoe*, *Ford**

<u>Quadrant 2:</u> (CoA NOT from contacts) & (Continuous & Systematic Contacts)

No Jx unless General or Traditional Jx

General Jurisdiction: Where you are home is standard
- Person: domicile
- Corporation: state of incorporation and PPOB (HQ)

Yes PJx: *Perkins*, *Mallory*
No PJx: *Goodyear*, *BMS*, *Helicopteros*, *Daimler…*

Bristol Meyers Squibb/Ford

<u>Quadrant 3:</u> (CoA arises from contacts) & (Isolated & Sporadic Contacts)

Yes PJx: *Hess**, *McGee*, *Gray*, *Keeton*, *Calder*, *Burger King*

No PJx: *WWV, Asahi, Nicastro*
***Depends** on contact's nature, quality, and circumstances. (Minimum contacts + Fairness)*

<u>Quadrant 4:</u> (CoA NOT from contacts) & (Isolated & Sporadic Contacts)

No PJx: *Hanson*

Internet & Personal Jurisdiction

Alito Concurrence in *Ford* → "virtually infinite number of 'affiliations' waiting to be explored"

- SCOTUS has not addressed how virtual contacts over internet should be considered in establishing PJ (*See*, Breyer & Alito concurrence in *Nicastro*), but lower court opinions provide guidance

***Zippo*: "Sliding Scale"** of passive to active websites determines whether it subjects Δ to PJx in forum state

- **Sliding Scale Test:** Likelihood that PJx can be exercised is *directly proportional* to the nature and quality (*Shoe*) of the commercial activity
  - **Active:** When Δ knowingly conducts business & repeatedly transmits files to users & enters into K's → normally PJx
  - **Passive:** Website posts information accessible in other states → Rarely Pjx
  - **Interactive:** Fall in the middle. "*Level of interactivity & commercial nature of exchange*" will determine PJx
    - User can exchange info with host computer.
    - Interactivity ≠ dispositive

Consider: Are there additional non-internet / internet-activity contacts? Even some not necessarily related to CoA?

Internet & Personal Jurisdiction:

Yes PJx	No PJx
Zippo: Exchanged information for commercial gain, contacts more than fortuitous, large number of PA subscribers and solicited more ***Macdermid***: Interactivity with computer network within forum state (even though Δ not physically in forum, but hacked into computer in forum) complied with state long-arm = purposeful availment • Δ was aware of actual location of physical computer, directly targeted the forum ***Mavrix* (9th Cir. 2011)**: Δ website did not target forum state, but Δ sold site space to third-party ad site who did target forum state. • Court held this was purposeful availment	***HuffPo Case* (5th Cir. 2021):** Rejected PJx on libel case against online publisher, finding interactivity and ability to access publisher's website in TX (forum state) insufficient • What mattered was whether CoA was aimed at forum state specifically • Only connection with TX was that people visited the website ***Advanced Technical* (7th Cir. 2014):** Connection between place where email was opened and lawsuit is fortuitous • Focus should be on deliberate actions by Δ to target/direct to forum state • interactivity w/o deliberate actions targeting forum state ≠ purposeful availment


Questions?

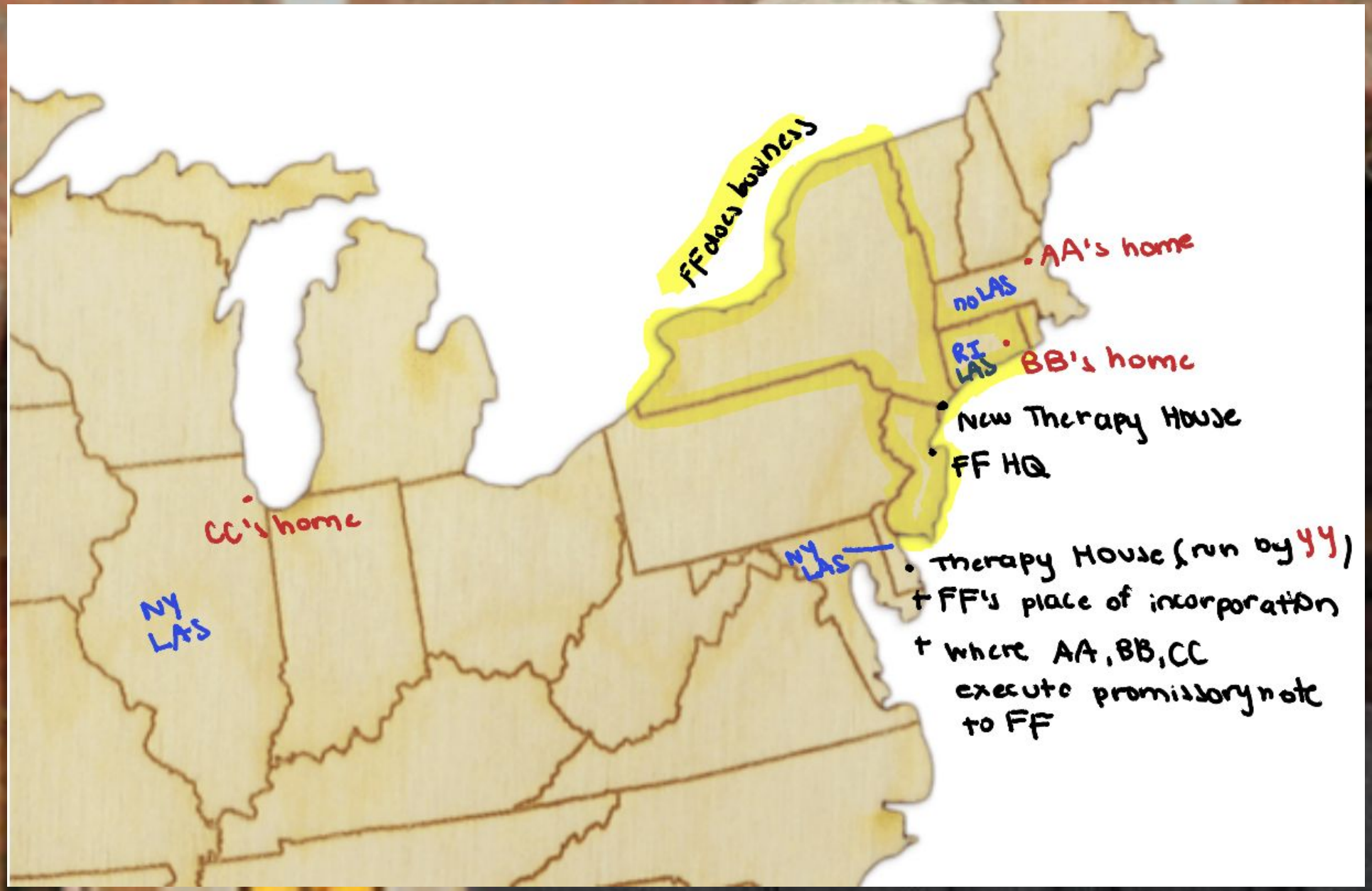
Hypo: General Approach

- Read the facts carefully
- Raise all issues that are reasonably implicated by the facts
- Structure matters
  - Outline your answer before you begin to write
  - Clarity of analysis
  - Make strongest arguments first
  - There is no “correct structure” in most cases (E.g. Organizing by states or individuals works in this example)
- State your assumptions
  - *e.g.* “Assuming that AA is domiciled in X state because...” NOT “We don’t know where AA is domiciled”
- Abbreviate as needed
  - *e.g.* Barry Banal = BB… or even personal jurisdiction = PJX

Question

Alicia Aardvark, Barry Banal, and Calvert Cretin are three wealthy business people who decide to "drop out" of their humdrum money-making routines and find the real meaning of life. Aardvark forsakes her opulent Back Bay, Boston, Massachusetts townhouse, Banal his Greenwich, Connecticut, mansion, and Cretin his Chicago lake-view apartment to spend three months at Therapy House, a transient commune owned and run by Yahoo Yoga on the Delaware shore. Yoga charges guests $8000 a month to learn transcendental meditation, glass bead work, and seaweed cookery. The three visitors become devout disciples and are persuaded to back a pet project of Yoga's --establishment of a branch of Therapy House in Brooklyn, New York. Yoga has acquired a run-down brownstone there to serve as a New York City headquarters and has negotiated a contract with FlimseyFrame Construction Co., a firm that is incorporated in Delaware, has headquarters in Newark, New Jersey, and does substantial business throughout the New Jersey-New York-Connecticut area, to renovate the brownstone for $900,000. However, the construction company is unwilling to sign the contract unless Yoga provides acceptable financing. Yoga persuades Aardvark, Banal, and Cretin to execute a promissory note to FlimseyFrame for $900,000, payable on completion of the project, which the three do in Delaware. The arrangement was negotiated in a series of emails that circulated among all five participants in the transaction. Yoga then signs the contract and mails it and the note to FlimseyFrame in Newark. Aardvark, Banal, and Cretin return to their respective residences, serene in spirit. Some months later, FlimseyFrame claims that the project is completed and demands payment of $900,000 but Yoga, Aardvark, Banal, and Cretin all refuse, claiming that the renovation work is incomplete and defective.

Assume that Massachusetts has no long-arm statute, and in 1949 its highest court stated it adheres to the good old-fashioned principles of Pennoyer v. Neff, set out in the casebook on p. 63, that Connecticut has the same statute as Rhode Island, which is set out on p. 291 of your Supplement, and that Delaware and Illinois have adopted the New York jurisdiction statute, which is set out on p. 286 of your Supplement. **In what court or courts, if any, may FlimseyFrame maintain an action against Yoga, Aardvark, Banal, and Cretin? Would it make any difference if the negotiation and execution of the construction contract and promissory note occurred after Aardvark, Banal, and Cretin returned to their homes?**


FF does business
AA's home
no LAS
RI LAS
BB's home
New Therapy House
FF HQ
CC's home
NY LAS
NY LAS
• Therapy House (run by YY)
† FF's place of incorporation
† where AA, BB, CC execute promissory note to FF

Delaware		YY	AA	BB	CC
(1) General Jx		Yes (see below)	No	No	No
(2) Traditional Basis		• **Domicile**: can reasonably infer Y's domicile is DE • **Physical Presence**: Y likely in DE running TherapyHouse • **Consent**? Unlikely (no registration statute like Mallory, no other bases)	No	No	No
Specific Jx	(3) Long arm **[NY]**	Strong argument that long-arm applies under: "*transacts any business within the state* or contracts anywhere to supply goods or services in the state" (A, B, C executed promissory note in DE)			
	(4) Min contacts	Purposeful availment? Execution of promissory note (i.e., contract) • ***McGee:*** single K had "**substantial connection**" w/ forum state • ***Burger King***: Where D has deliberately created **continuing obligations** between himself and forum + manifestly avails himself of privilege of conducting business, it's presumptively not unreasonable to require him to submit to the burden of litigation in that forum. ○ In determining purposeful availment, evaluate "prior negotiations, contemplated future consequences, terms of contract, parties' actual course of dealing."			
	(5) Arise out of or relate to	Yes			
	(6) Fair play and substantial justice	***VW Factors***: Burden on D (low: "wealthy business people"), DE's interest (high, want enforceable contracts), P interest in convenient and effective relief (depends on other jurisdictions but likely high), interstate system's interest in effective resolution (n/a), shared interests of the several states in social policies (n/a)			

New York		YY	AA	BB	CC
General Jx		No (domicile = DE)	No (domicile = MA)	No (domicile = CT)	No (domicile = IL)
Traditional Basis		No (unless consent in contract or registration statute, but we don't know that)			
Specific Jx	Long arm **[NY]**	• Perhaps no: No one "transact[ed] any business within the state" • Perhaps yes: Contracted "anywhere to supply goods or services in the state"			
	Min contacts	• Purposeful availment? Signing promissory note ○ Like ***Burger King*** - the four volitionally established continuing obligations with NY ○ Stronger argument for Y than A/B/C → Y bought the brownstone, many people give loans w/o purposefully availing themselves of any forum • Calder effects test - maybe? (intentional act, expressly aimed at forum, brunt of harm felt in forum state)			
	Arise out of or relate to	Yes			
	Fair play and substantial justice	• ***VW Factors***: Burden on D (low), NY interest (high, want enforceable contracts), P interest in convenient and effective relief (questionable if PJ more clear in DE), interstate system's interest in effective resolution (same), shared interests of the several states in social policies (not super applicable, Cf. Kulko) • TLDR: Probably a good forum, but not as good as DE			

Mass/Conn/Illinois Jx		YY	AA	BB	CC
General Jx		No (although A would be subject to GJx in MA, B in CT, and C in IL)			
Traditional Basis		No jurisdiction would get all the Ds (assuming no consent via contract)			
Specific Jx	Long arm	MA - no long-arm (for the hypo) IL - NY long-arm CT - RI (constitutional limit)			
	Min contacts	• Purposeful availment? Continuous and Systematic? Not really… • Stream of commerce seems like a no • Calder effects leans no (intentional act, expressly aimed at forum, brunt of harm felt in forum state) • Internet jx?!			
	Arise out of or relate to	Not as strong as other states			
	Fair play and substantial justice	*VW Factors*: Burden on D (higher), Individual state interest (lower, best case would be CT since FF does business but still weaker than others), P interest in convenient and effective relief (depends on other jurisdictions), Interstate system's interest in effective resolution, shared interests of the several states in social policies (not super applicable)			

What if the actions happened in their respective states?

- DE? Prob eliminate - why? No negotiation or execution of contract in DE, they just lived here
- NY more appropriate - Investing in NY businesses made the state a more foreseeable forum
  - Bc MA/IL/CT are hard, there's a good FPSJ arg that we should allow F to bring their case here.
- MA? Pennoyer long arm so no
- IL and CT?
  - LAS - Possibly (IL - transacting business in the state, CT - constitutional limit)
  - Arise out of or relate to (certainly much stronger than before)
  - Min contacts
    - Purposeful availment? Yes - Continuous Systematic (*Burger King*) No - transaction/business may not have really occurred in the respective states (*McGee*), Δ not necessarily availing themselves benefits
    - Strengthen internet jx bc transactions were done in forum
  - Fair play and substantial justice - *VW Factors:* Burden on D (low), Individual state interest (lower, best case would be CT since FF does substantial business but still weaker than others), P interest in convenient and effective relief (depends on other jurisdictions), Interstate system's interest in effective resolution, shared interests of the several states in social policies (not super applicable)

yay civ pro is so cool 🫶✨💜

